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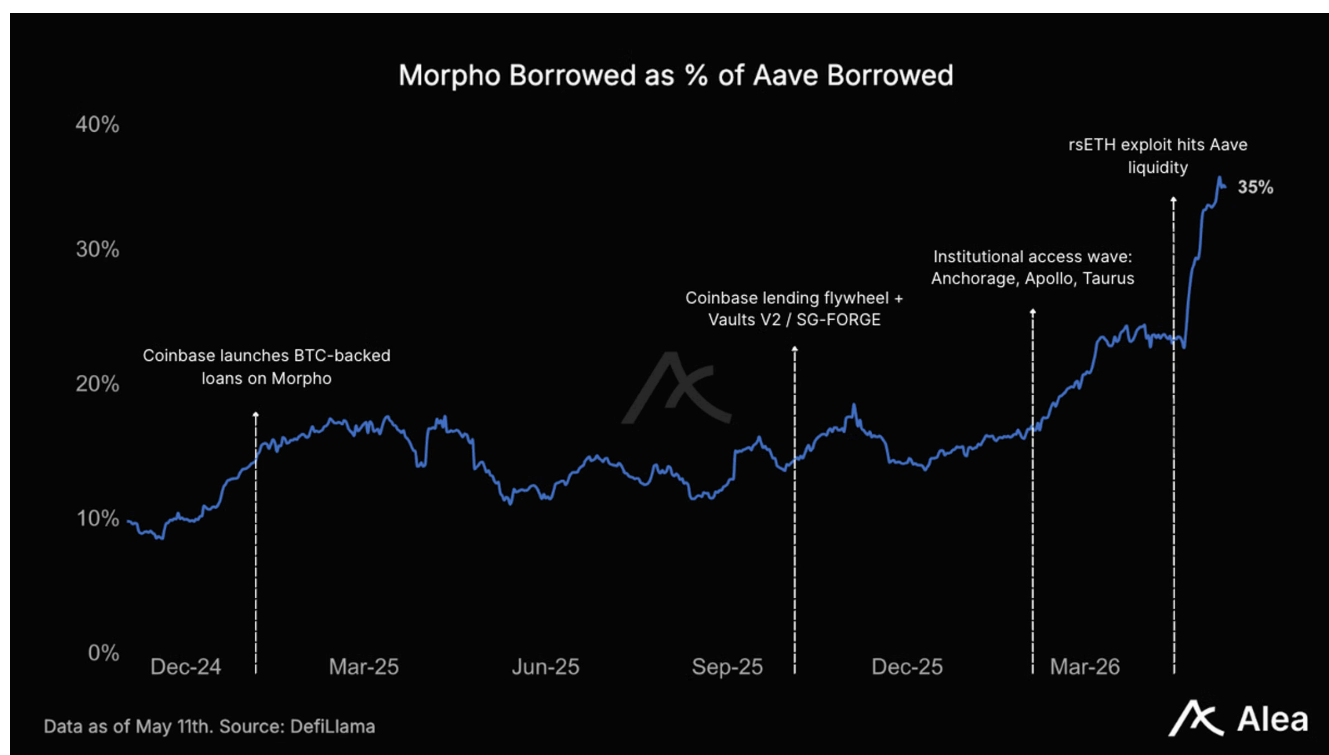
MORPHO

MORPHO presents an attractive paid-up optionality setup for those willing to pay before revenue turns on.

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MORPHO presents an attractive paid-up optionality setup for those willing to pay before revenue turns on. At \$2.12 on May 11, 2026, the token trades around \$2.12B FDV with zero protocol revenue. At ~\$15.2M of 30d fees, it puts MORPHO's P/F near the 11.6x multiple. AAVE trades near 1.8x annualized fees and 13.8x annualized protocol revenue. UNI and SKY trade near ~6.6x and ~4.5x annualized fees. The market is already paying a premium for MORPHO. The question is whether that premium can expand as the fee path becomes easier to underwrite.

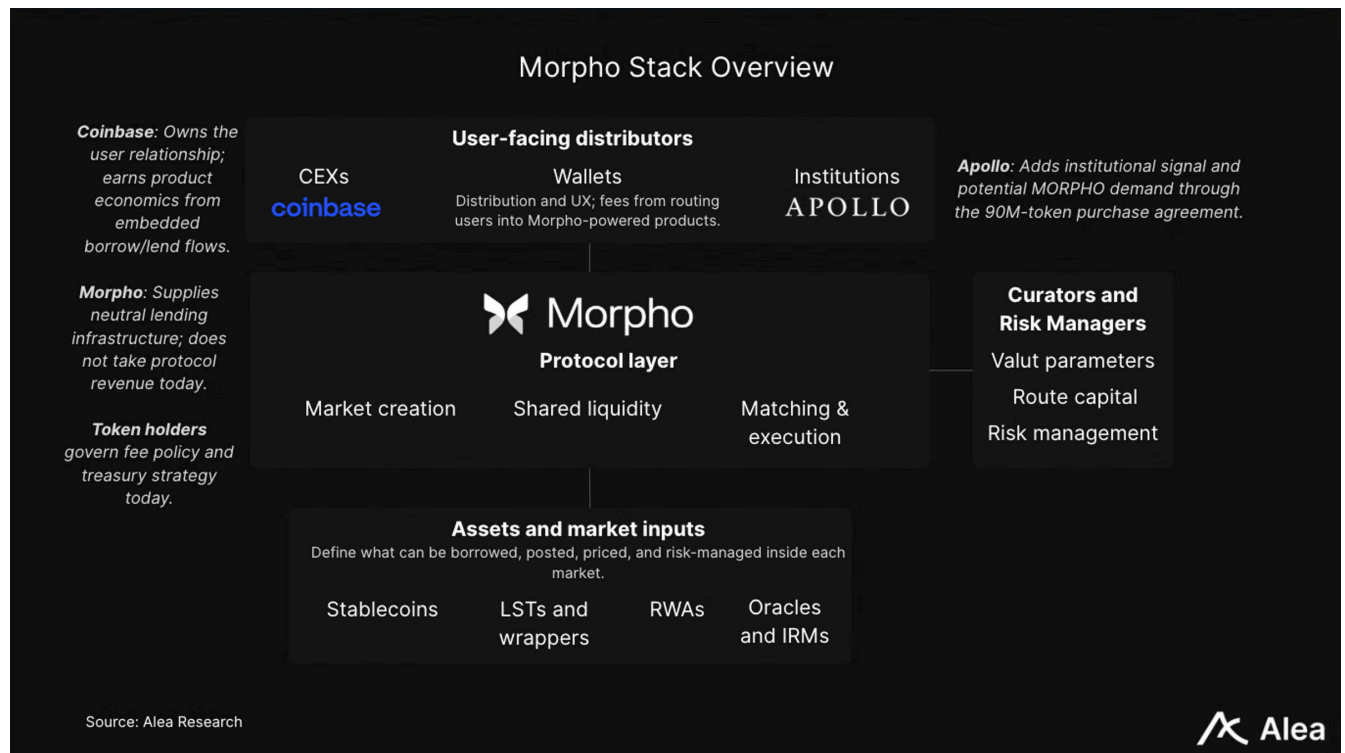
We think it can, presuming the market starts underwriting three things together: i) institutional distribution as the moat, ii) **Midnight** as the product catalyst, and iii) the fee switch as the valuation catalyst. Initial exposure makes more sense as a range position than as a one-shot catalyst trade. Position size can increase on a dated Midnight rollout or audit update if Morpho's borrow share against Aave keeps improving. The trade should shrink or close if usage grows while token value accrual stays unclear.



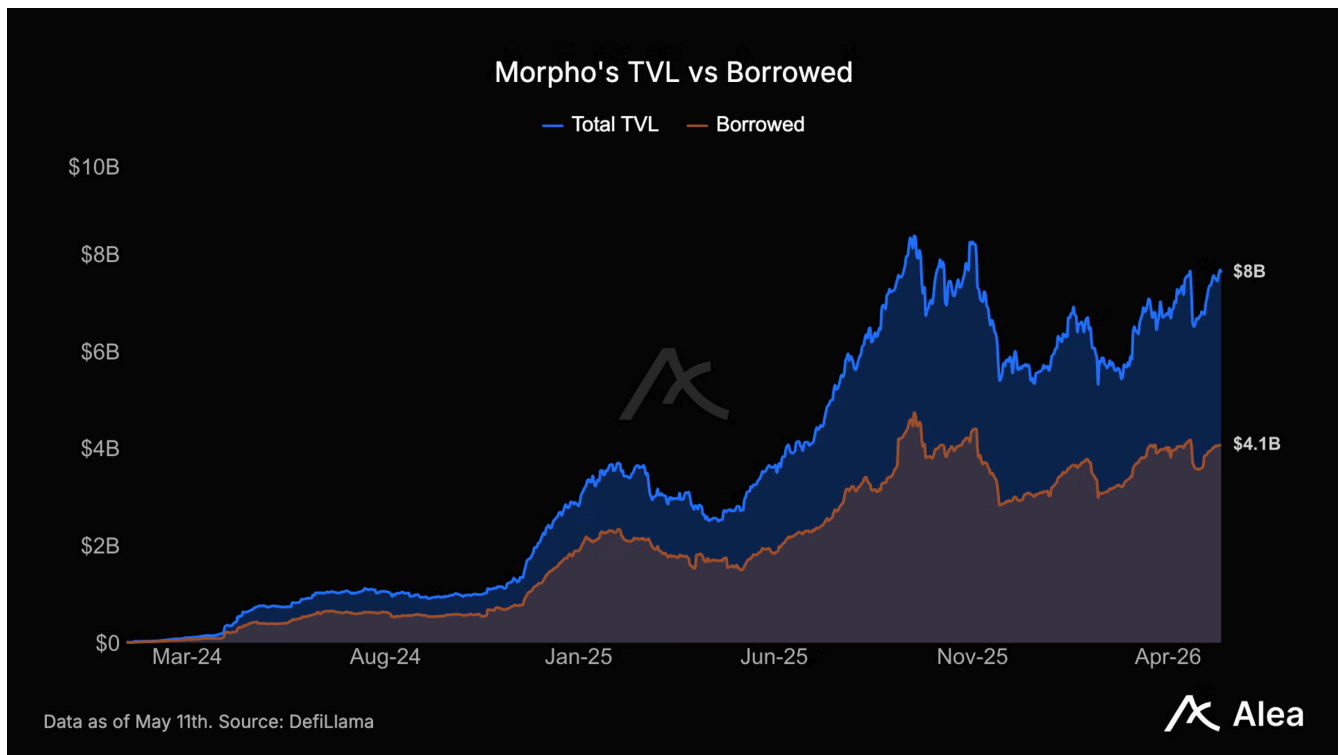
Morpho Blue, the variable-rate lending layer, got Morpho here because it gives specific third parties a neutral base to build around: **asset issuers** such as Ripple/RLUSD, **tokenized-stock issuers** such as xStocks/SPYX and Centrifuge/deSPXA, **curators** such as Steakhouse, Gauntlet, Flowdesk, and Sentora, **distributors** such as Coinbase, Ramp, OKX, Binance, and ShapeShift, and **institutions** such as Fireblocks, Taurus, Anchorage, and Apollo.

A Morpho market has **five fixed inputs**: loan asset, collateral asset, LLTV, oracle, and IRM. Once created, the market parameters do not change. That lets distributors, curators, and custody platforms create lending products without asking a DAO to approve every asset, without pooling unrelated collateral risks, and without forcing end users into raw DeFi.

The code is deliberately small and simple, so the edge is not code sophistication but the ecosystem that forms around a neutral base layer. **Curators** can package markets into vaults and earn performance fees for risk work. **Coinbase**, exchanges, and fintechs bring borrowers and supplied assets together. **Fireblocks**, **Taurus**, and **Anchorage** reduce operational friction for institutions. **Apollo** adds both institutional signal and possible token demand through its [agreement to acquire up to 90M MORPHO over 48 months](#).



In March 2026, Morpho’s enterprise integrations accounted for [\\$1B of \\$4B active loan](#); exchanges and fintechs supplied **\$1B of \$6B+** lent assets, and **more than 90%** of active loans were stablecoin-denominated. The data shows how Morpho is growing through embedded financial channels rather than direct DeFi user acquisition. Users can borrow or earn through Coinbase, Fireblocks, Taurus, Anchorage, Ramp, OKX, Binance, ShapeShift, and other front ends while Morpho stays underneath as lending infrastructure.



Midnight raises the ceiling because it moves Morpho from variable-rate lending into fixed-rate, fixed-term credit. Blue externalized risk selection. Midnight externalizes rate pricing. The two are synergistic because Blue builds the distribution, collateral base, and curator network that Midnight can reuse for fixed-term credit. Lenders and borrowers can make offers; the market sets the rate, and terms can include duration, collateral type, portfolio collateral, KYC conditions, and settlement chain. Vaults V2 then give lenders a variable-rate, instant-liquidity wrapper that can allocate into fixed-rate markets once Midnight is live.

On the competitor side, **Aave V4** is moving towards shared liquidity and risk-isolated spokes. **Euler** gives builders a flexible vault stack, while **Fluid** is pushing harder on capital efficiency. Morpho's reason to keep taking share is narrower: institutions can build on neutral, immutable infrastructure; own the user relationship; and avoid governance-heavy market creation. A main risk is that Aave V4 copies enough of the modular thesis while keeping deeper liquidity and a proven revenue base, even though [AAVE buybacks have been paused](#) since April 19 after the rsETH incident.

The token side is harder to defend since Morpho has no active protocol revenue streams today. Morpho's [past positioning](#) over this matter was that future fees should be reinvested into growth rather than paid out. Will this still be the mindset of the team moving forward? If yes, then the trade becomes dependent on Morpho's ability to execute and continue growing the platform.

MORPHO Becoming the Center of Focus



Source: LinkedIn (Paul Frambot)



Today we can define MORPHO as a governance claim on future protocol economics but not a cash-flow token. However, the bet and the mindset behind the position are that Blue, Midnight, and institutional distribution grow the lending network to a point where control over reinvestment, fee policy, and treasury strategy are worth materially more than the market is pricing today.

The valuation math sets a high bar. Current 30d fees annualize to ~\$189.9M, with the latest 30d fee base roughly in line with Q1 2026's ~\$14.9M average monthly fees and the last twelve months' ~\$15.9M average monthly fees. A **10%** protocol take would produce ~\$19.0M of annual revenue, or ~110x FDV/revenue. A **20%** take would produce ~\$38.0M, or ~55x. **AAVE** trades near 13.6x realized annualized revenue. For MORPHO to deserve an Aave-like revenue multiple at today's FDV, it needs roughly **4.1x fee growth at a 20% take rate** or **8.1x fee growth at a 10% take rate**. That will not happen from Blue alone in the next few weeks. Midnight has to expand the fee base, or the market has to keep paying a premium for the probability that it will.

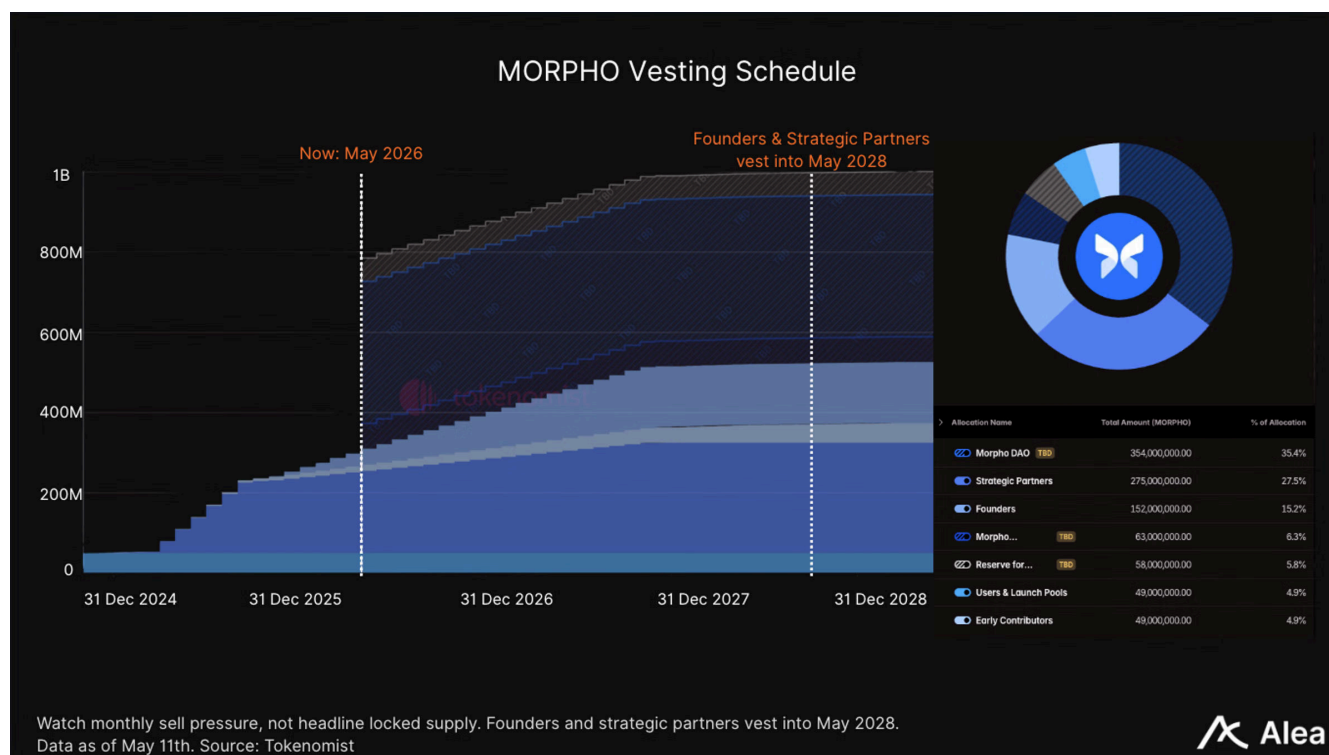
MORPHO Trades at a 6.7x P/F Premium to Aave Before Protocol Revenue Turns On

Protocol	FDV	30D Fees	30D Protocol Revenue	FDV / Ann. Fees	FDV / Ann. Revenue
	~\$2.14B	~\$15.2M	\$0	~11.7x	N/A
	~\$1.60B	~\$76.9M	~\$9.8M	~1.7x	~13.6x

Data as of May 11th. Source: Alea Research, CoinGecko, DeFiLlama



Supply is a manageable concern rather than a thesis breaker. The circulating supply is about **633M of 1B MORPHO**. The large DAO and reserve buckets look worrying on the chart, but they are not immediate liquid selling pressure. The relevant sell-pressure bucket is founders plus strategic partners: 15.2% for founders and 6.7% for strategic partners vest through May 17, 2028. If treated as evenly linear, that is 219M MORPHO over roughly 24 months, or about 9.1M MORPHO per month. At \$2.09, that is roughly **\$19M of monthly potential absorption**. Actual sales are unknown, so supply can cap upside, but the concern is monthly absorbable flow rather than a single cliff.



For this trade we have some clear marks to pay attention to. As of May 13, 2026, Morpho Blue has about \$4.1B borrowed today versus Aave V3 at about \$11.66B, or ~**35%** of Aave's borrow book, rising substantially after the [rsETH incident](#). The position should be reduced or closed if Morpho falls below \$3.8B borrowed or below the 30% mark of Aave for two consecutive weeks. The trade improves if borrowed assets move above \$4.5B while the Aave-relative share holds or, even better, continues to improve. A few more exit signals would be if 30-day fees fall below \$13M, if Midnight's next update lacks audit progress or exact rollout timing, or if governance communication by end-Q3 2026 still gives no actual path from protocol fees to token value.

MORPHO is a buy only if we are willing to pay for optionality before the numbers justify any of it. The current premium is defensible while Blue keeps taking borrow share from Aave, institutional channels keep adding supply and borrowers, and Midnight gives the market a new fixed-rate fee source to consider. The thesis falls apart if usage grows but tokenholders remain stuck with governance over a nonprofit lending network where curators, distributors, and integrators capture the economics first.